

centrally. Das of IIBF agrees on the need to have a central repository of blacklisted agencies. “We will talk to IBA and banks to have such a centralised system,” he says.

AGENDA FOR CHANGE

The retail debt resolution industry has been rapidly evolving from traditional recovery agencies, ARCs to new-age digital players. “Unlike earlier days, skip tracing is possible today on the strength of tech because of the customer’s digital footprint,” says Ravinder Beniwal, Deputy CEO of IARC. The tech-savvy large agencies are focussed on training & development and compliance. ARCs are also setting up tech platforms in partnership with technology companies. “We are not going to own the platform, but it will be based on a subscription-based model,” says Pallav Mohapatra, CEO & MD at Arcil, an ARC. “Selling to ARCs makes sense as they are regulated institutions with infrastructure and quality people, and their reputation comes first,” says Sanjay Agarwal, Divisional Head-Retail Assets Business at Edelweiss ARC.

Some players are planning to aggregate traditional agencies a la OLA. “We compound our reach by working with conventional resolution agents, controlled and managed via our proprietary governance technology. This is important from a governance, training, and responsibility point of view,” says Kunal Shah, founding team member, Group CFO & Head-Retail Services, TruBoard Partners. He adds that regulators need to take a different approach to defaulters. “It’s important to differentiate between delinquent and standard customers. The sharing of customer-level data by lenders should be guided by a differentiated approach,” he says. Currently, RBI doesn’t allow the sharing of defaulting customer data.

“We have had a lot of attempts at data mutualisation in the corporate space, right from the central repository of information on large credits (CRILC) data to reporting defaults. We haven’t had enough mutualisation efforts on the consumer side,” says Patel from Acies. Currently, agents are groomed to bring back the money with no

Borrowers’ Bible

What to do if you are pursued by a recovery agent



Record all interactions—text messages, calls and emails—from the recovery agent



Write to the recovery agency, bank or RBI’s Ombudsman listing the violations of the regulator’s code



File a police complaint and document all the interactions



File a civil suit in court for relief if the police complaint doesn’t yield any result



File a defamation suit against the bank and its agent if they call your friends or relatives



File an extortion case against recovery agents if they forcefully recover money

Source: Industry

power to restructure or offer a tailored repayment plan. Patel suggests that a more likely resolution would happen where a recovery agent understands how to restructure cash flows. On the recovery side, there is a need for a framework similar to how agency models in insurance are regulated. “It should be more of a financial planning skill with more skin in the game for a continuing payout on the debt restructured by the recovery agency,” advises Patel.

While sympathy often lies with the defaulter in our society, new recovery tools and tech are also tightening the noose around rogue borrowers. “If there is a notorious customer, then the agency should flag this to the principal, and legal remedies should be explored,” suggests a retired central banker. According to lenders, the customer escalation rate (those disputing) of the total defaulting customers is less than 5 per cent. “Social media has also corrupted their minds,” says a player (*see box Borrowers’ Bible*).

Despite the hurdles, recovery agencies continue to play an essential role in the financial system. Ultimately, those borrowers who misuse the banking system will have to face the consequences of their actions. Because, *EMI liya hai to chukana padega*. **BT**

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